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Rent control going ahead with Newsom's blessing - as companion bill pulled

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Gov. Gavin Newsom signaled on Thursday that he wants to sign some kind of housing affordability law just after a controversial rent control proposal cleared its first committee in the Legislature.

"The California Dream is in peril if our state doesn't act to address the housing affordability crisis," Newsom said, thanking an Assembly committee for passing "renter protection" package.

He released his statement hours after a bill that prohibit landlords from raising rent by more than 5 percent above the Consumer Price Index passed the Assembly's Housing and Community Development Committee by a 6-1 vote.

Critics say Assembly Bill 1482 bill could upset market stability, stymie development and financially hurt property owners. California voters in November rejected Proposition 10, a statewide rent control initiative.

But the bill's principal author, Assemblyman David Chiu, D-San Francisco, said lawmakers must act to protect renters from "egregious rent increases" in the meantime.

The night before the committee hearing, Newsom's chief of staff Ann O'Leary talked with rent control supporters and people struggling to afford rent in the lobby of his offices. She said Newsom told lawmakers he wanted the Legislature to work toward a legislative deal to help California renters.

Elsa Stevens, a renter in a Richmond retirement community testified in support of the bill and said her housing is "supposed to be affordable."

Stevens said she and her husband pay $1,200 a month in rent, about 40 percent of their monthly income. They have an adult son with autism, who she says is learning to tie his shoes and would have no ability to take care of his parents if they couldn't pay rent and had to move.

"The food bank comes to our community," Stevens said during her testimony. "We seniors can't outspend the corporate landlord lobbying that's flooding this Capitol with millions of dollars every year. It's time for our elected officials to decide whose side are you on?"

Opponents showed up in force, too. Those against AB 1482 included landlords, small property owners and multifamily housing residents who called the proposal an "ill-conceived" "housing-killer bill."

"While many factors have a roll in driving California's high housing costs, the most important and significant factor is a shortage of housing," Adam Regele with the California Chamber of Commerce said. "The bill disincentives desperately needed new housing by failing to include any exemptions for new construction."

While campaigning for governor, Newsom said he opposed last year's rent control measure. But Newsom has also said he supported expanding rent control in theory and wants the Legislature to craft new laws."Because this is such a big step forward, because it's going to affect communities statewide, much broader than rent control, we have to be thoughtful because it could have unintended consequences," Assemblyman Jesse Gabriel, D-Encino, said. "And if it's not designed correctly, it could make the problem worse. It could exacerbate our supply problem."

A companion rent control bill, Assembly Bill 36, was pulled by its author, Assemblyman Richard Bloom, D-Santa Monica, ahead of Thursday's hearing. Bloom's legislation would have reformed the Costa Hawkins Rental Housing

Act, a law that prevents local governments from imposing rent control on apartments built after 1995.

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